ZEPTO | PRODUCT CASE STUDY

Raising Zepto's AOV at one moment: Cart Review

Why baskets stop at “enough”, and three solutions matched to who is shopping.

+29% to +40%

growth a typical order needs before the cart on our screenshot pays a first ₹10 reward at ₹499

Typical order: ₹357 to ₹388 (public estimates, slide 3). One account, one session, slide 6.

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The answer on one page: personalise “enough” at Cart Review

PROBLEM STATEMENT

Users currently stop adding items at Cart Review once the free-delivery bar or the next reward is met, or when nothing relevant is offered,

Because the cart sets “enough” by location and demand, not by the user's own basket, and its add-ons are unrelated to that basket,

Which results in an order value of about ₹357 to ₹388, below rivals, on a delivery cost that does not shrink with the basket.

Sources and the evidence base are on slides 3 to 5.

RECOMMENDATION

Build Solution 1 first: a personal milestone ladder in place of the ₹499, ₹699 and ₹899 rungs. Solutions 2 and 3 follow.

WHO DOES NOT GET IT

The Emergency Buyer gets neither Solution 1 nor Solution 2. Pushing a one-item mission to add more risks the low-ticket orders that drive store throughput (slide 10).

HOW SURE WE ARE

Solution 1 ranks first in 84% of 59,049 sensitivity runs of the RICE scores. Solutions 2 and 3 are a tie. Segments are hypotheses to confirm with cohort data.

Zepto leads on orders per store but trails on order value, and its price levers keep moving

Metric (source, period)	Zepto	Blinkit	Instamart
Average order value (Inc42, Q1 FY26)	Not reported	**₹669**	**₹612**
Net order value per order (DAM Capital, Q4 FY26)	**₹387**	Zepto is 26% below	Zepto is 23% below
Orders per store per day (DAM Capital, Q4 FY26)	**2,140**	1,425	1,093
Outside estimate (Jefferies, period not stated)	**about ₹357**	about ₹530	about ₹490

HOW TO READ THIS

- Compare within a row only. Order value is defined differently across rows and sources, and the Jefferies figures differ from Inc42's.
- Every source that reports Zepto puts it lowest on order value and highest on orders per store. The gap is basket size, not how often people open the app.
- A fixed delivery cost spread over a small basket is why this matters: Zepto's adjusted EBITDA was −16% of net order value in Q4 FY26, Blinkit's 0%.

ZEPTO'S FREE-DELIVERY BAR, AS REPORTED

Nov–Jan Bar cut from ₹199 to ₹99 with handling, surge and small-cart fees dropped (Nov, Business Today); raised to ₹149 with a ₹20 fee below it (Jan, Curly Tales).

Jul 2026 DAM Capital: Blinkit "all orders sit in the FD199-plus bucket"; Zepto's other orders "get free delivery over Rs 99".

Aug 2026 Bar raised from ₹149 to ₹199 in normal hours, up to ₹299 at peak; it varies by pin code, demand and customer profile. (IANS, Goodreturns)

> *"A higher threshold can push up basket sizes but also risks losing the low-ticket orders that drive throughput."*
>
> DAM Capital, as reported by Business Today, 24 Jul 2026

DAM Capital's July note still refers to a ₹99 bucket; consumer-news reports put the bar at ₹149 from January. The blunt lever, a higher bar, is already being pulled.

Four segments, held as hypotheses until Zepto's own cohort data confirms them

Evidence base: the group's own cart walk-through and screenshots (slide 6), analyst and news reporting (slide 3), and public user comments, labelled as such. The segments below are behaviour-based hypotheses to confirm with Zepto cohort data.

Emergency Buyer

AT CART REVIEW

Opens for one urgent item and pays as soon as it is in the cart. The cart is a pass-through.

WHAT WOULD CONFIRM IT

Orders with 1 or 2 items; time from first add to pay.

ROLE IN AOV

Pulls AOV down, but is the low-ticket traffic that drives throughput.

Threshold Optimizer

AT CART REVIEW

Adds items until the delivery bar or reward bar turns green, then pays.

WHAT WOULD CONFIRM IT

Orders that cluster just above the bar.

ROLE IN AOV

The bar becomes the ceiling of the basket.

Habitual Reorder

AT CART REVIEW

Rebuys the same items from history and rarely opens a new category.

WHAT WOULD CONFIRM IT

Share of cart lines that are repeat items; categories per order.

ROLE IN AOV

Stable baskets with little cross-category growth.

Planned Shopper

AT CART REVIEW

Stocks up across categories in fewer, larger orders.

WHAT WOULD CONFIRM IT

Largest-basket orders; orders per month.

ROLE IN AOV

The behaviour to grow, and the one the current ladder stops serving.

Public user voice (Desidime forum): “If we have zepto pass we still need to buy min 99 to get free delivery ?” Reply: “yes even with pass 99 rs fro free delivery”. Per this thread, Zepto Pass members were still bound by the minimum.

Five insights from the group's research, and where each lands in this deck

1

Urgency-driven purchases

Most purchases are urgency-driven, resulting in smaller basket sizes.

LANDS IN

Emergency Buyer; the constraint on who is exposed (slide 10)

2

Free delivery as the endpoint

Users stop adding products after unlocking free delivery, treating it as the natural endpoint.

LANDS IN

Blocker 1; Solution 1, personal milestone ladder

3

A familiar product loop

Users repeatedly purchase familiar products and rarely explore new categories.

LANDS IN

Habitual Reorder; Solution 2, Quick Lists

4

Reactive shopping pattern

Shopping is reactive rather than planned, leading to multiple small orders.

LANDS IN

Blocker 4 and the secondary problem; Solution 2

5

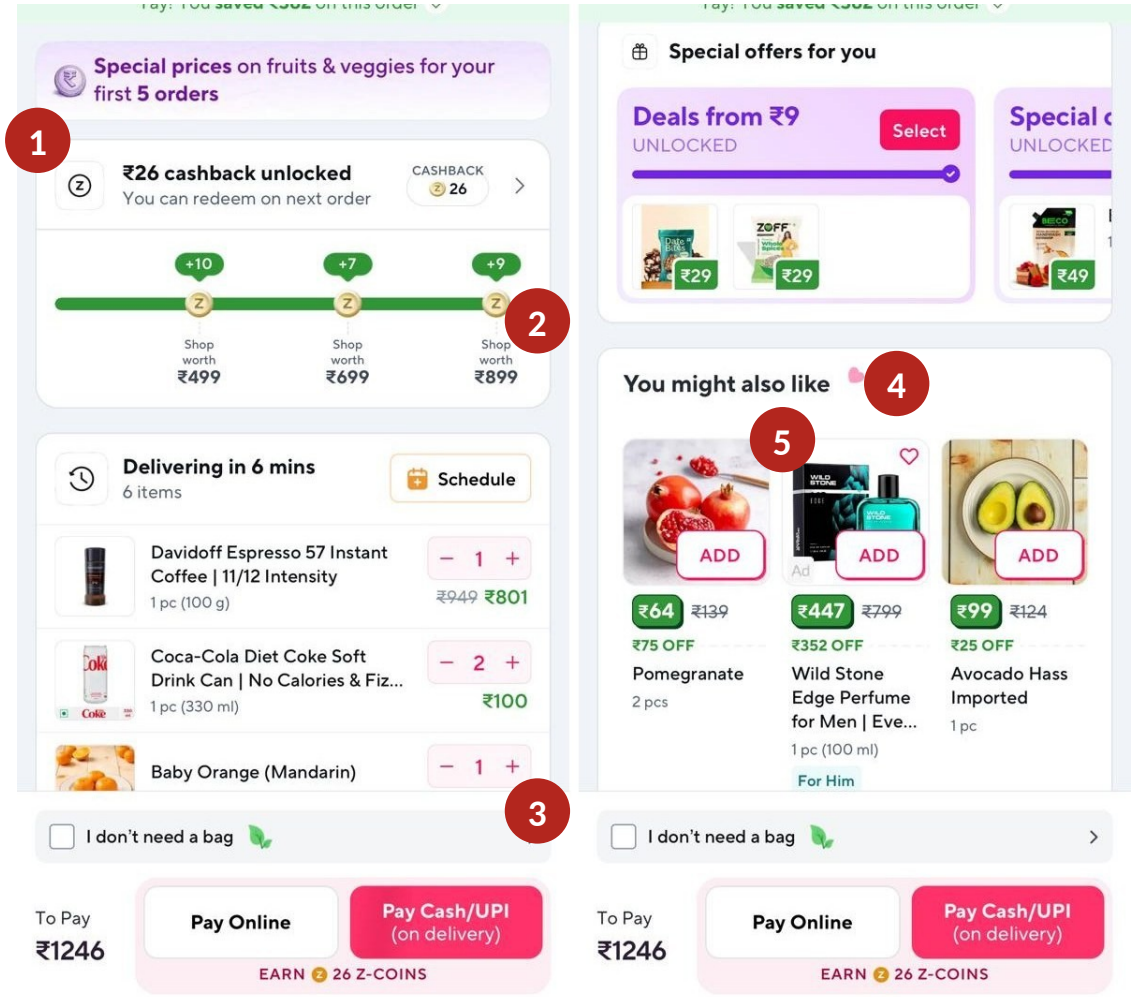
Generic recommendations

Recommendations are often generic or appear too late in the journey.

LANDS IN

Blocker 2; Solution 3, add-on relevance (slide 6)

Cart Review is where expansion breaks: the ladder tops out, rewards shrink, add-ons are unrelated



1 **Rungs sit far above a typical order**

Rewards sit at ₹499, ₹699, ₹899. Against a typical order of ₹357 to ₹388, the first rung needs 29% to 40% growth.

2 **The reward rate falls, then the ladder ends**

+₹10 on ₹499 is 2.0%; +₹9 on ₹899 is 1.0%. This cart is ₹1,246, past the last rung, so nothing is left to pull it further.

3 **Add-ons sit below the fold**

“You might also like” comes after six line items; the first three visible are coffee, diet cola and mandarins.

4 **Suggestions are unrelated to the cart**

Pomegranate, a perfume and avocado: none completes coffee or cola.

5 **Relevance competes with an ad**

The perfume is labelled Ad: the slot serves revenue before the basket.

One group member's account, one session. Offers vary by user and time, so these are observations of one cart, not a sample.

One problem, built around Cart Review, with one root cause

1 Why does AOV trail rivals while orders per store lead?

Baskets stop growing at Cart Review, the last point where adding is cheap.

2 Why do they stop there?

The cart signals “enough”: the delivery bar is met or the next reward looks out of reach.

3 Why does the next reward look out of reach?

On our cart the rungs sit at ₹499, ₹699 and ₹899, 29% to 40% above a typical order.

4 Why do the rungs sit there?

Bars vary by pin code, demand and broad profile, not visibly by the user's own usual basket. (Inference to test.)

5 Why do add-ons not fill the gap?

They are not tied to what is in the cart, and one slot is an ad, so adding feels like a new search.

ROOT CAUSE

The cart sets “enough” by area and demand, not by the user's own basket, and offers no relevant next step.

Stated as an inference: the five whys are anchored in one cart and public reporting, and a cohort cut would test it.

SECONDARY PROBLEM, KEPT NARROW

Repeat shoppers rebuy the same few items in many small orders, because nothing helps them plan the next stock-up, so order count rises but value per order does not. This one is a hypothesis and drives Solution 2 only.

The five blockers, ranked: two act at Cart Review, one is a constraint, two are set aside

#	Blocker	Role	Evidence we have	Decision
1	**Delivery bar and reward rungs act as the endpoint**	Direct cause at Cart Review	Cart screenshot (slide 6); DAM Capital; IANS on the ₹199 bar	**Keep. Solution 1**
2	**Add-ons are generic and unrelated to the cart**	Direct cause at Cart Review	Cart screenshot: unrelated items, one marked Ad	**Keep. Solution 3**
3	**Mission-driven intent (Emergency Buyer)**	Constraint, not a defect	DAM Capital: low-ticket orders drive throughput	**Keep as a limit: who is exposed (slide 10)**
4	**Reactive shopping splits one stock-up into many orders**	Feeds the secondary problem	Hypothesis only; needs cohort data	**Keep, narrowly. Solution 2**
5	**Limited product discovery earlier in the journey**	Upstream of the cart	Nothing on our screens or sources ranks it above the cart moment	**Cut from this scope**

Ranking rule: a blocker ranks higher the closer it sits to the Cart Review decision and the more direct the evidence. Blockers 1 and 2 are the only ones we can see on screen.

Three solutions, each tied to a ranked blocker and a mechanism on AOV

1 Personal milestone ladder

ADDRESSES

Blocker 1: the bar and rungs act as the endpoint.

MECHANISM

Replace ₹499 / ₹699 / ₹899 with rungs set a step above the user's own usual basket, re-set after each order, and extend past the last rung. Cap reward value so contribution per order stays positive.

WHY IT SHOULD WORK

Instamart's order value rose from ₹487 to ₹612 after its saver ladder launched (Inc42; also assortment). A personal rung should move growth to the users a flat bar leaves behind.

SEGMENTS

Threshold Optimizer first; Habitual and Planned also.

2 Quick Lists

ADDRESSES

Blocker 4 and the secondary problem.

MECHANISM

Build a weekly staples list from order history; one tap adds it. Two or three small orders become one planned order.

WHY IT SHOULD WORK

Weakest evidence of the three. It lifts AOV by merging orders and may cut order count, so we measure value per user, not AOV alone.

SEGMENTS

Habitual Reorder first; Planned also.

3 Cart add-on relevance

ADDRESSES

Blocker 2: unrelated add-ons.

MECHANISM

Rank “You might also like” by what completes the items in the cart, show one row above the fold, and place ads after the complements.

WHY IT SHOULD WORK

The captured cart shows unrelated items and an ad in a slot that could complete the basket. Each add is small, so the lift is modest.

SEGMENTS

All four; capped at one non-blocking row for the Emergency Buyer.

Not every segment gets every solution: the Emergency Buyer is held out of two

Segment	1 Personal ladder	2 Quick Lists	3 Add-on relevance
Emergency Buyer	**Withheld**	**Withheld**	**Capped: one non-blocking row, no extra step**
Threshold Optimizer	**Primary**	Not targeted	**Yes**
Habitual Reorder	**Yes: rung set from history**	**Primary**	**Yes**
Planned Shopper	**Yes: ladder extends past ₹899**	**Yes**	**Yes**

WHY THE LADDER IS WITHHELD

A rung set above a one-item basket asks the user to add what they did not come for. DAM Capital warns a higher bar "risks losing the low-ticket orders that drive throughput", and Zepto needs about 3,000 orders per store per day to reach adjusted EBITDA break-even (it was 2,140 in Q4 FY26).

WHY QUICK LISTS IS WITHHELD, AND WHAT THEY GET

A one-item mission has nothing to plan, so a list is clutter at the moment speed matters. They keep the fastest path to pay and see one add-on row that never blocks it. Cart-to-pay conversion for this segment is a guardrail (slide 12).

RICE with numbers: Solution 1 ranks first, and Solutions 2 and 3 are a tie

Solution	Reach (% of MAU)	Impact	Confidence	Effort (person-months)	Score = R × I × C ÷ E
1 Personal ladder	65%	1	80%	3	**65 × 1 × 0.8 ÷ 3 = 17.3**
2 Quick Lists	40%	1	50%	6	**40 × 1 × 0.5 ÷ 6 = 3.3**
3 Add-on relevance	100%	0.5	50%	8	**100 × 0.5 × 0.5 ÷ 8 = 3.1**

INPUTS, ALL STATED UP FRONT

- Reach: segment shares of MAU of 35 / 25 / 25 / 15 (Emergency / Optimizer / Habitual / Planned), placeholders until a cohort cut. Ladder = last three; Quick Lists = last two; add-ons = all four.
- Impact: AOV uplift on exposed orders. 3 = 15% or more, 2 = 8 to 15%, 1 = 4 to 8%, 0.5 = 2 to 4%.
- Confidence: 80% where peer evidence exists, 50% where none.
- Effort: our estimate, to confirm with engineering.

DOES THE ORDER SURVIVE?

- We re-scored all 59,049 combinations of: Emergency share ±10 points, each impact ±1 step, each confidence ±1 step, each effort −50% or +50%, varied independently per solution.
- Solution 1 ranks first in 84%. With all three of its own inputs at their worst and rivals at base, it still edges ahead, 3.6 to 3.3.
- Solution 2 beats Solution 3 in 52%, a coin flip, so sequence them by dependency: Solution 3 reuses the basket signal from Solution 1.

How we would know it worked, what must not break, and what could go wrong

Measure	Definition
AOV on exposed orders	A/B against a holdout. Hypothesis: +4% to +8% (impact band 1), set after the test.
Rung reach	Share of orders that cross the first rung.
Add-on attach rate	Orders with an add-on tapped from the cart ÷ orders reaching the cart.
Guardrail: cart-to-pay conversion	No significant drop, reported for the Emergency Buyer separately.
Guardrail: orders per store per day	Q4 FY26 baseline 2,140; about 3,000 needed for break-even.
Guardrail: contribution per order	Must not fall after reward cost; delivery time also watched.

Risk	Mitigation
Users resist higher rungs	Start the first rung close to the usual basket; A/B before widening.
Low adoption of Quick Lists	Auto-build the list from history so it costs no effort.
Relevant add-ons cost ad income	Complements first, ads after; track ad revenue per order. Ads were 7.78% of net order value in FY26 (DRHP, via Amquest).
Bigger baskets strain delivery	Watch picking and delivery time at the 90th percentile; roll out by store.
Rewards erode margin	Cap reward value so contribution per order stays positive.

Planning figures, data to bring in, and next steps

PLANNING FIGURES

- Segment shares of 35 / 25 / 25 / 15 are placeholders.
- Impact bands, confidence and effort are our estimates.
- Bars vary by pin code, demand and profile; whether rungs follow the user's own basket is unknown from one account.
- Order-value figures use different definitions and periods.
- The first rung a step above the usual basket is a starting parameter to test.

DATA TO BRING IN

- Zepto cohort data: items per order, frequency, time to checkout by segment.
- More carts: ten or more across accounts, to see how the rungs vary.
- Reward cost per rung, to size the reward cap in Solution 1.

NEXT STEPS

1. Re-run interviews with a stated n and verbatim quotes. Core prompt: “Tell me about the last order where you added more than you planned. What made you add it?”

2. Capture ten or more carts and compare the ladders.

3. Cut one month of orders by segment and re-score RICE with real reach.

4. Test Solution 1 against a holdout, with the guardrails on slide 12.

Sources

Business Today, 24 Jul 2026: Zepto IPO, Blinkit vs Instamart vs Zepto (DAM Capital)

Business Today, 3 Nov 2025: Zepto halves free-delivery threshold, scraps surge charges

Inc42, 1 Aug 2025: Blinkit vs Instamart, the gap keeps growing (AOV)

Precize: Zepto targets higher AOV (Jefferies estimate)

Telangana Today / IANS, 19 Aug 2026: free-delivery bar to ₹199

DT Next / IANS, 19 Aug 2026: bar up to ₹299 at peak

Curly Tales, 9 Jan 2026: Zepto ends free delivery below ₹149

Goodreturns, 20 Aug 2026: minimum order value raised to ₹199 (varies by pin code, demand, profile)

Desidime forum: Zepto handling fees thread (public user comments)

Desidime forum: Zepto, my detailed review experience (public user comments)

Amquest Education: Zepto DRHP analysis (ad revenue, net order value)

Group's own material: the cart screenshots on slide 6 were captured by the group on one member's account. Order-value figures are as each source defines them; the +29% to +40% on slide 1 is our arithmetic (499 ÷ 388 and 499 ÷ 357). RICE inputs and the sensitivity run are planning figures stated on slide 11.